

# NVIDIA Corporation

NVDA NASDAQ

|     |                  |                              |                                      |                       |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|
| Buy | \$219.73 ▲ 0.18% | 12M Price Target<br>\$260.00 | 52-Week Range<br>\$164.27 – \$236.54 | Market Cap<br>\$5.31T |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|

## NVDA: Grinding to Highs as AI Capex Boom Continues

### WHAT HAPPENED

- Stock is basically flat today (+0.18%) but that hides the real story — NVDA has quietly climbed from \$211 to \$220 over four sessions on strong volume. This is a grind higher, not a squeeze, which is actually more bullish because it means real institutional buying, not just short covering.
- Salesforce's Benioff calling NVDA "exquisite" isn't just fluff — it's a signal that even software CEOs (who normally hate hardware costs) are publicly acknowledging they have no choice but to keep paying up. That's pricing power in plain sight.

### WHY IT MATTERS

The AMD rumor about a 2027 GPU edge is worth watching but not panicking over — even IF true, NVDA's CUDA software moat (the programming language every AI developer already knows) means competitors have to be significantly better, not just equal, to steal share. More importantly, the options flow is screaming bullish: 247k call contracts at the \$220 strike hitting 3.7x open interest tells me big money is betting on a breakout above the 52-week high of \$236. The California "kill switch" executive order is the sneaky bullish tell here — regulation always favors the incumbent because compliance costs crush smaller competitors, and NVDA has the legal and lobbying budget to shape the rules. Watch for a run at \$236 in the next 2-3 weeks; if it breaks with volume, next stop is \$250+.

### POLICY & POLITICAL WATCH

The big overhang is still China export policy — the Trump administration has been negotiating a framework where NVDA can sell downgraded H20 chips to China in exchange for a 15% revenue share to the US government, and any expansion (or contraction) of that deal moves the stock 5%+. Meanwhile, the AI Diffusion Rule replacement is being finalized this fall, which will set the rules for who NVDA can sell to globally — a lighter-touch framework is bullish, tighter allied-only restrictions are bearish. California's Newsom is reconsidering an AI safety executive order (per Barron's today) which, counterintuitively, helps NVDA because compliance overhead is a moat.

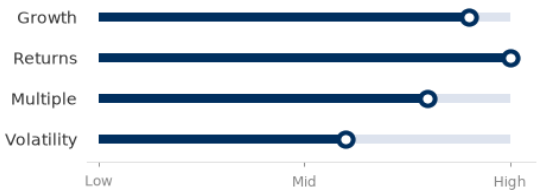
### IS IT EXPENSIVE?

At \$5.31T market cap, NVDA trades around 45x forward earnings — meaning you're paying \$45 for every \$1 of profit expected next year. That sounds expensive, but the company is growing earnings 50%+ annually, so the PEG ratio (price relative to growth) is actually under 1, which is historically cheap for a hyper-grower. The bear case is that data center capex from Microsoft, Google, Meta, and Amazon has to keep accelerating to justify this — the second those four say "we're pulling back," this multiple compresses fast.

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$219.73 |
| 12M Price Target    | \$260.00 |
| Upside / (Downside) | +18.3%   |
| Market Cap          | \$5.31T  |
| FY2027E Revenue     | \$208M   |
| FY2028E Revenue     | \$265M   |
| FY2027E EPS         | \$4.85   |
| FY2028E EPS         | \$6.30   |
| Fwd P/E             | 45.3x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$240.00  | \$225.00  | \$205.00  |
| 6 Months  | \$275.00  | \$245.00  | \$190.00  |
| 1 Year    | \$310.00  | \$260.00  | \$175.00  |
| 2 Years   | \$400.00  | \$320.00  | \$180.00  |
| 5 Years   | \$600.00  | \$425.00  | \$200.00  |
| 10 Years  | \$900.00  | \$550.00  | \$175.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** AI infrastructure (chips, data centers, power) — the Nebius news today confirming continued AI spending boom is another data point that capex isn't slowing. Energy is also perking up because data centers need massive power.

**COOLING OFF:** Financials (-2.65% on the week) and Industrials (-2.22%) — money is leaving cyclical as recession chatter picks up. Healthcare bouncing suggests defensive rotation is happening underneath.

**ROTATION WATCH:** Money is concentrating in AI winners while abandoning broader tech — notice Tech ETF is flat but NVDA is up 4% in a week. That's a "narrow leadership" market, which is powerful for NVDA but risky for the overall market.

**RELATED PLAY:** If NVDA keeps running, the second-order winners are power/utility names serving data centers (VST, CEG) and memory chip makers (MU, SK Hynix) — they're the shovels for the picks-and-shovels play.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Popping today on the 2027 GPU rumor — market is starting to price in a real #2 in AI accelerators, which is a warning shot for NVDA bulls
- IREN (Iren Ltd): Northland's \$99 target reflects the AI data center/crypto miner pivot story — analysts are throwing money at anything with GPU exposure

**NVDA CONTEXT:** NVDA is leading its immediate peer group and grinding to 52-week highs while the broader tech sector is flat — that's textbook relative strength and usually precedes further gains. The fact that AMD popping on a rumor didn't hurt NVDA today tells you this market thinks the AI pie is big enough for multiple winners.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**CONVICTION:** 8/10 — pounding the table on the long-term story, cautiously optimistic on the near-term because we're near 52-week highs and one bad hyperscaler comment could shake things up.

**POSITION SIZE:** 5-7% of portfolio — this is a core holding, not a trade, but don't go crazy given single-stock concentration risk at \$5T market cap.

**ENTRY POINTS:** Add on pullbacks to \$210-215 (recent support) or scale in if it breaks \$236 with volume (breakout confirmation).

**TIME HORIZON:** 12-24 months — the catalyst I'm waiting for is Q4 earnings and 2027 guidance, which should confirm whether the Blackwell/Rubin transition keeps data center growth above 40%.

**WHEN TO BAIL:** If data center revenue growth drops below 20% YoY, or if two of the big four hyperscalers announce capex cuts, I'm cutting the position in half immediately.

**HEDGING:** Buy some out-of-the-money put options (basically insurance that pays off if the stock crashes) for 6 months out at the \$190 strike — costs you maybe 2-3% of the position but protects against a China policy shock.